

on and are waiting for the market to do what it needs to do, what are you going to do in the interim? Coming back again to the investment bank world, they have meetings and all sorts of stuff going on that suck up time. Traders would all complain about the waste of time, but what it actually meant was that it limited the amount of time they were in front of their screens staring at their positions. You don't want to be sitting in front of your screen and staring at market prices for 12 hours a day. Staring at the price is not going to tell you very much. You will start to overprocess and overtrade.

I have found that one of the common denominators among successful traders is patience, particularly in regard to staying with good trades long enough—and that is true regardless of the time frame, even daytraders. I assume the more time you spend staring at the screen, the less patience you will have.

You will have less patience, and if you are in a negative loop, every downtick cuts you. You will feel physical pain with every tick the market goes against you.

It sounds like you have had that experience.

I have had several occasions in my career where I sat with my head in my hands, thinking, *I am never going to make a penny again. I am crap. I have always been crap. I have just been found out.* Even though you may have made money for 10 years, you can still get into that mind-set.

You had a knack for trading, but now it is gone. You lost it.

I lost it. I was never that good. It was just the market. Now the market is changed, and I don't know what to do. It is a horrible, horrible feeling.

When you do get into that type of phase, what do you do?

I have learned over the years that when you get into that mode, don't do anything. Discipline yourself not to trade for two weeks or whatever time period you choose. Take a holiday.

Does that work?

Oh, yeah, as long as you don't have any positions on when you go. You need to get out of everything. Then go away and forget about it. Now that